M.E.T. x Alpine Investors

Topics in Entrepreneurship

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Meet the Team

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Company Analysis

General

$19B AUM, mid-sized PE firm

Targets low-middle market companies with EBITDA ~$3M

Operates under a people-first philosophy

Development

Strong focus on internal leadership development, talent pipeline and building a strong company culture

Portfolio

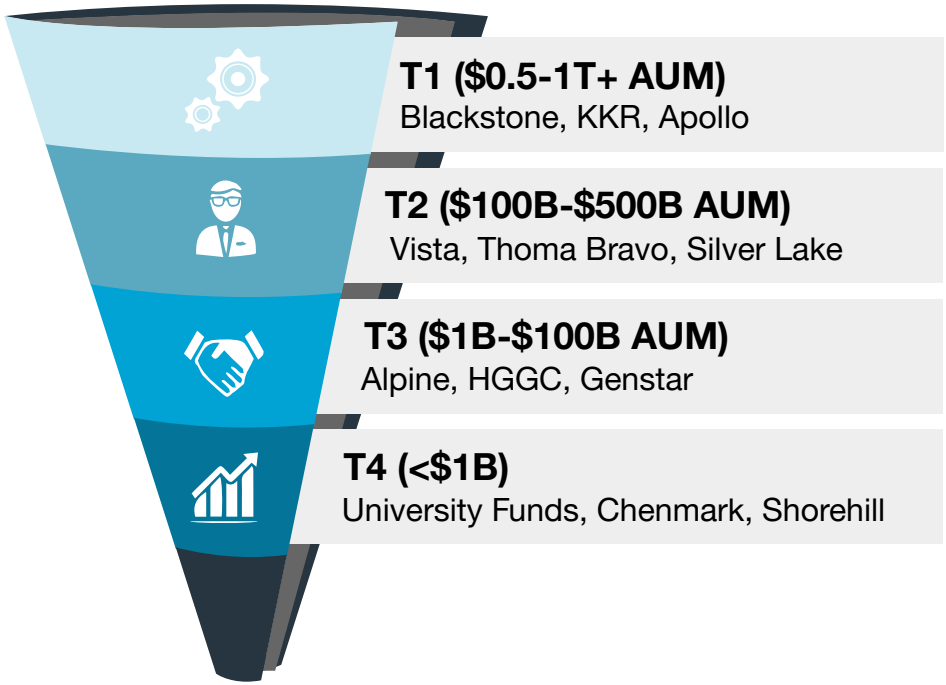
Portfolio mainly targets vertical SAAS & service industry

141 companies' services (47.5%), software (35.5%), & other (17.0%)

Programs

The biggest moats are the CEO-in-residence, CEO-in-training, and investor-in-residence programs

Industry Analysis



Recent Macrotrends

- Debt is more expensive & leverage is less lucrative
- IPO market is week & exit volume hit decade lows
- PE firms becoming companies to be sold to bigger PE firm
- LP cares more about DPI more than IRR
- AI drastically influencing the values of portfolio SaaS companies
- AI-optimizing and due diligence process (investor-marketing becomes important)

Disruptor 1: High Interest Rates

Trends: High interest rates make value creation difficult, leaving many companies holding onto capital and seeking higher IRR before investment.

Why Alpine is Structurally Exposed

1

Alpine is Inherently Acquisition Focused

- As a PE firm, Alpine continually acquires companies and its personnel to fill investment gaps and promote growth

2

Value is Generated by Exits

- Alpine needs to have speedy and efficient exits in order to maintain its capital flow. Slower exits means lost growth opportunities and longer turnaround times.

3

Current Capital Commitments

- Any commitments that Alpine has made must go through at this point in time, regardless of whether current economic conditions have changed the appeal of certain companies.

Implications for Alpine

Limited Flexibility for Growth Initiatives

- With higher interest rates compressing value, it will be more difficult finding investments that are worth putting money into

Exits Are Slower

- With slower exits, the value and capital turnaround is significantly lowered, resulting in lower profitability and investment rate

Companies could have been bought at peak

- With current economic conditions, money may now be lost if exits are forced for some companies acquired at peak times.

Disruptor 2: AI Lowers Barrier to Entry

Trends: AI lowers the cost and time to build software, enabling small teams to launch and iterate quickly, increasing competition from AI-native entrants for traditional firms.

Why Alpine is Structurally Exposed

1

Portfolio companies move slowly

- Alpine's 35+ SaaS companies are built for steady, profitable growth, not rapid reinvention. Other companies with the use of AI can copy their core features in days.

2

Bootstrapped Structure Constraints Capabilities

- Alpine keeps teams small and costs low. But AI competitors have data, talent, and tools that most portfolio companies don't have that build faster.

3

Profit focus limits reinvestment

- Alpine targets 20%+ profit margins. That leaves little room to spend on new tech, while AI-native rivals keep getting faster and cheaper.

Implications for Alpine

Companies could lose customers

- If a cheaper AI tool or they can make it themself, Alpine's portfolio companies may not notice until it's too late.

The gap keeps growing

- Every month Alpine waits, competitors get better. Catching up later is harder and more expensive than adapting now.

Exits could be worth less

- Buyers pay less for software companies that haven't kept up with AI. Lower valuations at exit means lower returns for Alpine.

Recommendation: AI Exposure Assessment

Context

AI is rapidly disrupting software moats across the portfolio

- AI-first tools are **compressing traditional SaaS defensibility**
- Portfolio companies face growing displacement risk without proactive monitoring

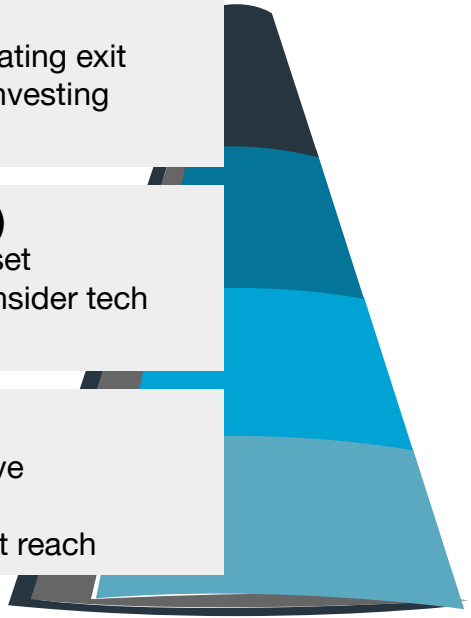
Takeaway

- Conduct a **portfolio-wide AI exposure assessment**, mapping each holding against an AI vulnerability matrix
- Embed AI resilience criteria into the investment screen for all current and future

Tier 1 (At Risk)
Consider accelerating exit planning, avoid investing additional capital

Tier 2 (Watchlist)
Prioritize data asset development, consider tech acquisitions

Tier 3 (Resilient)
Monitor competitive position, consider expanding product reach



Recommendation: Target Highly Regulated Sectors

Context

Rise of AI-first tools is compressing software moats:

- Many traditional SaaS features are becoming **commoditized via LLMs & APIs**
- Smaller teams can now **replicate core functionality** quickly

This is especially true in **low-regulation, general-purpose** software markets. Thus, Alpine's portfolio companies face increased risk of displacement

Takeaway

Focus on companies operating in highly regulated sectors (security, compliance, & healthcare) where regulatory complexity creates durable moats

Prioritize companies that:

- Embed deeply into compliance workflows
- Own regulatory-critical data pipelines
- Monetize trust and certification, not just features
- Operate in sectors with evolving regulation

Why This Works

1 Regulation Presents Natural Barrier to Entry

AI can generate features, but it **cannot bypass compliance requirements** → natural barrier to entry that AI cannot easily disrupt

2 Data & Trust Serves as Defensibility

Companies in these sectors have to build **proprietary datasets** and develop **institutional trust** with customers and regulators

3 Reliability Over Innovation

Customers prioritize **reliability over innovation** in these regulated industries, as switching tools and workflows risks **non-compliance** & **high switching costs**

Recommendation: Shift Toward Minority Investment

Context

Elevated interest rates have **compressed buyout activity**

Full acquisitions require:

- High Leverage
- Precise valuation timing

Current environment creates **execution risk + capital deployment slowdown**

Alpine's has previously thrived from a an aggressive aggregator/roll-up model

Takeaway

Pivot from majority buyouts → minority stakes & strategic partnerships

Why This Works

1

Maintain Deal Flow Without Overcommitting

Deploy capital into **high-quality assets**
Avoid reliance on aggressive leverage structures
Smaller ownership = lower exposure to valuation uncertainty

2

Increase Flexibility on Exits

No control requirement → more exit pathways

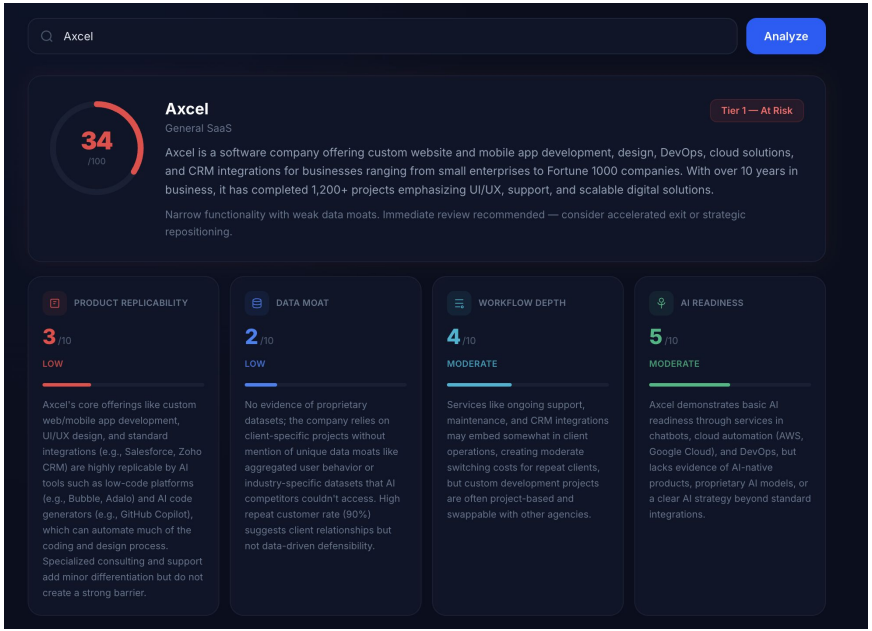
- Strategic buyers
- Secondary sales
- Founder-led liquidity events

3

Preserve Optionality for Future Buyouts

Build relationships + **inside access to companies**
Position Alpine for future **majority acquisition when rates normalize**

AI Exposure Analysis Tool



Tool

- Provides detailed analysis of portfolio companies across the following domains: Product Replicability, ata Moat, Workflow Depth and AI Readiness
- Try it out for yourself: https://alpine-analysis.vercel.app/

AI Exposure Analysis Tool Demo (Link)

Thank you!
Q&A